

India Power

Initiation of coverage: the build-out is financed, the returns are not all priced the same

Atharva Akhanzode | Data as of 14 Aug 2026

Company	Rating	CMP	Target	Upside	Method	DCF 12m	EV/EBITDA 12m	Mkt-implied WACC	Consensus target
NTPC Ltd	HOLD	336	314	-6.7%	SOTP	182	607	8.0%	447
Tata Power Company Ltd	SELL	382	331	-13.5%	Blend	181	480	8.6%	394
JSW Energy Ltd	HOLD	560	506	-9.7%	Blend	429	582	8.4%	619

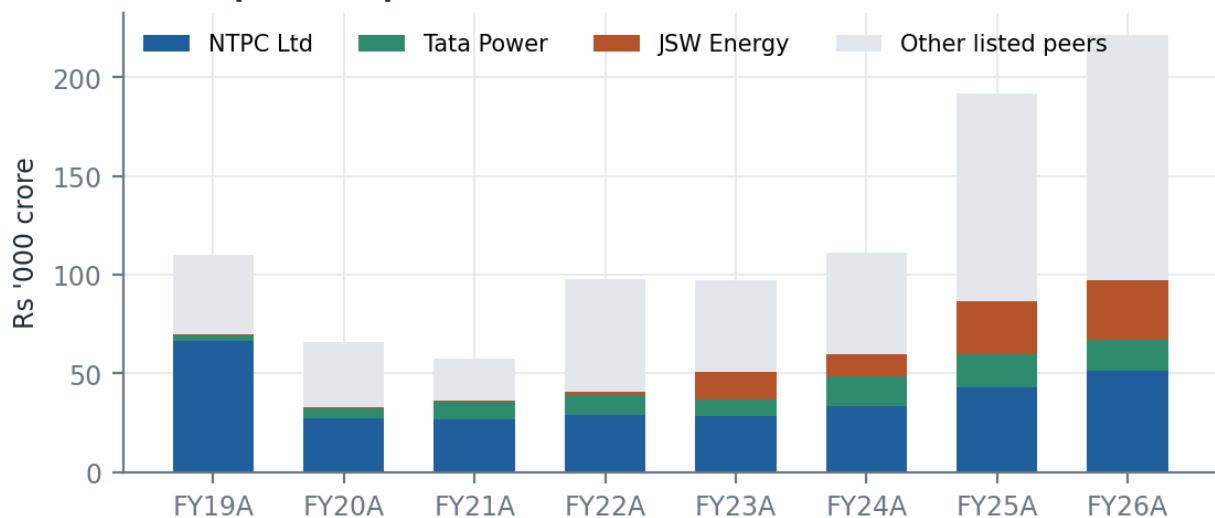
Investment summary

India's power sector is in its largest investment cycle in a decade. Listed generators and utilities spent roughly Rs 2.2 lakh crore on assets in FY26, more than double FY23, and the three companies we initiate on have guided to spend more in FY27. Peak demand touched 270 GW in July 2026 (JSW Energy, Q1FY27 call), against the 250 GW record of May 2024.

Capex starts from management guidance, haircut for execution, and is turned into capacity. Renewables earn MW x utilisation x tariff; NTPC's regulated EBITDA scales with regulated equity, which grows by 30% of the regulated assets commissioned; Tata Power's and JSW's other assets earn a yield calibrated on FY19-26. At guided capex the model commissions roughly what each company has guided for FY27. On that basis none of the three is cheap: the market is already paying for the build-out.

- **NTPC Ltd - HOLD, TP Rs 314 (-7%).** A fair price for the regulated compounder; the upside needs returns above the rulebook.
- **Tata Power Company Ltd - SELL, TP Rs 331 (-13%).** Good businesses, but the price already assumes a cheap cost of capital.
- **JSW Energy Ltd - HOLD, TP Rs 506 (-10%).** On track for 30 GW, and the market already knows.

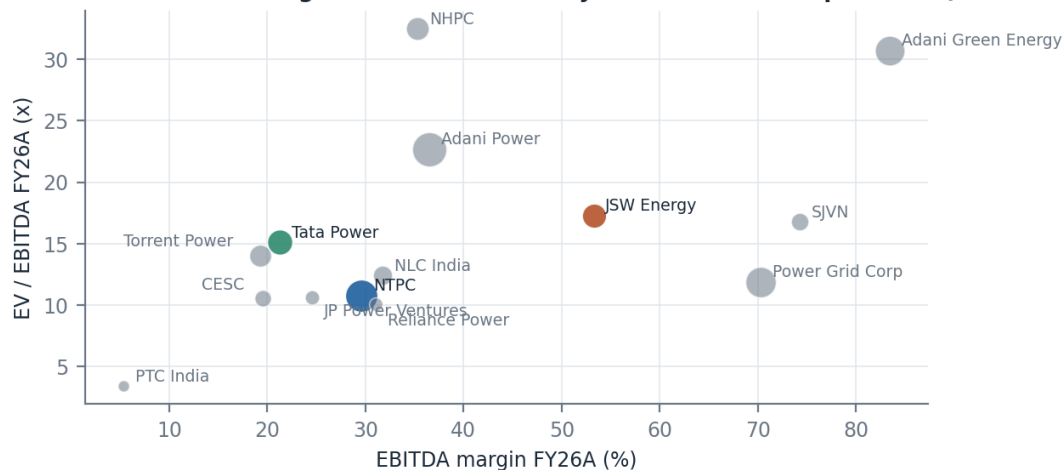
Listed power capex has more than doubled since FY23



Sector: capacity, capital and carbon

Three facts frame the sector. First, the grid is short of firm capacity: the CEA projects an additional 86 GW of coal requirement to 2036, of which 68 GW is in the pipeline (NTPC, Q4FY26 call), even as India crossed 50% non-fossil installed capacity in June 2025. Second, the capital is being raised on balance sheets that are already levered 4-7x net debt/EBITDA. Third, the market does not price these assets uniformly: hydro and pure renewables trade at 16-32x EBITDA, integrated thermal-led names at 10-15x.

Valuation vs margin: renewables and hydro command the premium (bubble = market cap)

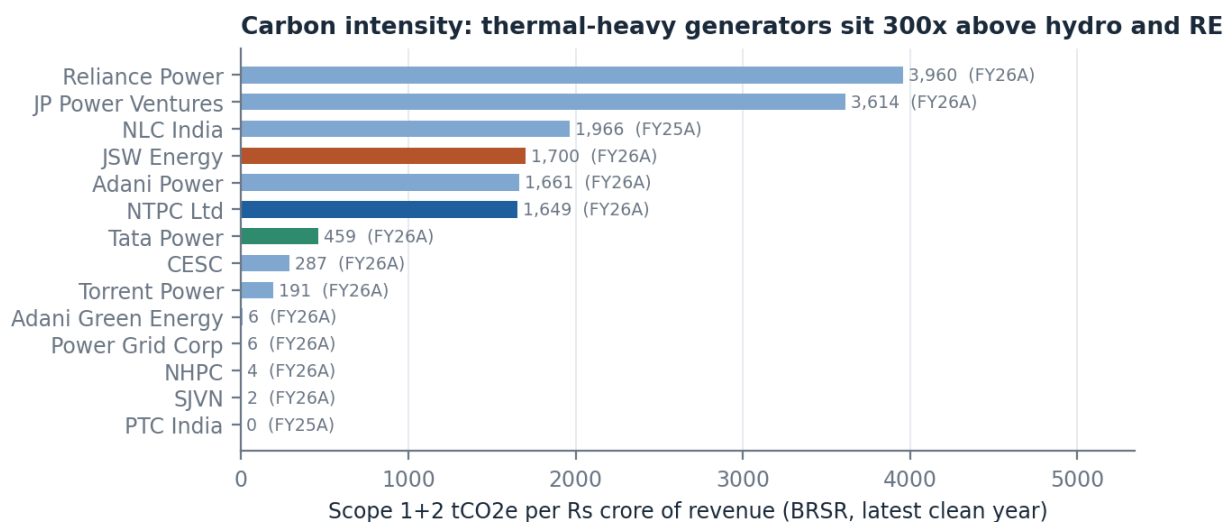


Listed power comparables (FY26A, prices 2026-08-14)

Company	Segment	Mcap (Rs cr)	EV/EBITDA	P/E	P/B	ROE	EBITDA mgn	ND/EBITDA
Adani Power	IPP / thermal	395,818	22.7x	30.5x	6.1x	21.4%	36.5%	2.6x
NTPC Ltd	Integrated / thermal-led	326,167	10.8x	11.8x	1.6x	14.2%	29.6%	4.8x
Power Grid Corp	Transmission / PSU	247,443	11.9x	15.5x	2.5x	16.5%	70.3%	4.4x
Adani Green Energy	Renewables	222,039	30.7x	111.7x	11.1x	12.4%	83.4%	9.2x
Tata Power	Integrated / private	122,078	15.1x	23.9x	3.1x	13.6%	21.3%	5.3x
JSW Energy	IPP / private	102,613	17.3x	37.2x	3.3x	9.5%	53.3%	6.8x
NHPC	Hydro / PSU	77,246	32.5x	18.3x	1.9x	10.4%	35.3%	11.9x
Torrent Power	Integrated / private	65,966	14.0x	26.7x	3.5x	13.5%	19.3%	2.1x
NLC India	Lignite-thermal / PSU	38,152	12.4x	10.1x	1.8x	18.7%	31.7%	4.9x
SJVN	Hydro / PSU	26,271	16.8x	40.9x	1.8x	4.5%	74.2%	9.0x
CESC	Integrated / private	21,453	10.5x	13.3x	1.7x	13.2%	19.5%	4.4x
JP Power Ventures	IPP / thermal	11,918	10.6x	26.4x	0.9x	3.6%	24.6%	1.9x
Reliance Power	IPP / thermal	9,504	10.1x	-	0.6x	-2.1%	31.0%	6.0x
PTC India	Power trading	4,780	3.4x	6.7x	0.8x	12.2%	5.3%	-3.2x

Carbon exposure from BRSR filings

We compute scope 1+2 emissions per rupee crore of revenue from SEBI's mandatory BRSR disclosures. Filers mix units (tonnes, million tonnes, kilograms), so rows that sit more than 5x away from a company's own median, or thermal generators reporting under 50 t per Rs crore, are flagged and excluded rather than rescaled. The spread is wide enough to matter for cost of capital as lenders price transition risk.



Latest reported quarters

Company	Quarter ended	Revenue	EBITDA	Net profit
JSW Energy Ltd	2025-12-31	4,082	2,141	420
NTPC Ltd	2025-12-31	45,846	15,642	5,489
Tata Power Company Ltd	2025-12-31	13,948	4,111	772
JSW Energy Ltd	2026-03-31	4,499	2,605	372
NTPC Ltd	2026-03-31	49,688	17,237	10,486
Tata Power Company Ltd	2026-03-31	14,900	4,372	996
JSW Energy Ltd	2026-06-30	5,207	3,105	471
NTPC Ltd	2026-06-30	50,741	17,259	6,721
Tata Power Company Ltd	2026-06-30	19,051	4,490	1,176

Source: Yahoo Finance quarterly statements; quarters missing from that feed are omitted.

A fair price for the regulated compounder; the upside needs returns above the rulebook

The build-out is real and mostly regulated. Group capex was Rs 49,068 cr in FY26; management guides Rs 1,08,000 cr for FY27 and Rs 5,97,000 cr over FY28-32. At 70% delivery the model commissions ~7.1 GW of renewables in FY27 (7-8 GW guided) and reaches 62 GW by FY32 against the 60 GW target, while regulated equity grows from Rs 120,319 cr to Rs 238,474 cr by FY36.

FY27 profit falls on tax, not operations. FY26 net profit (Rs 27,546 cr) included a tax credit (reported effective rate -12%, Screener). At a normalised 25% we forecast Rs 23,994 cr attributable in FY27 (-13%), then 7% growth in FY28.

HOLD, target Rs 314. Sum of the parts at Mar-27: regulated equity valued by residual income at 1.81x book (Rs 234,811 cr), equity in regulated CWIP at book (Rs 14,450 cr) and the 89% NTPC Green stake at market less 20% (Rs 55,160 cr). Today's price implies NTPC earns 16.8% on regulated equity, against 15.5% normative plus ~0.4 points of net operational gains in FY26. Each extra point of earned RoE is worth ~Rs 24 a share: 17% gives Rs 340, 18% gives Rs 364.

What management said

"Guided by our new corporate plan, NTPC is charting an ambitious growth trajectory, targeting a capacity portfolio of 150 gigawatts by FY32 and on to 250 gigawatts by FY37." [Q1FY27 call, p9]

"Group-level capex is INR1,08,000 crores estimates." [Q1FY27 call, p10]

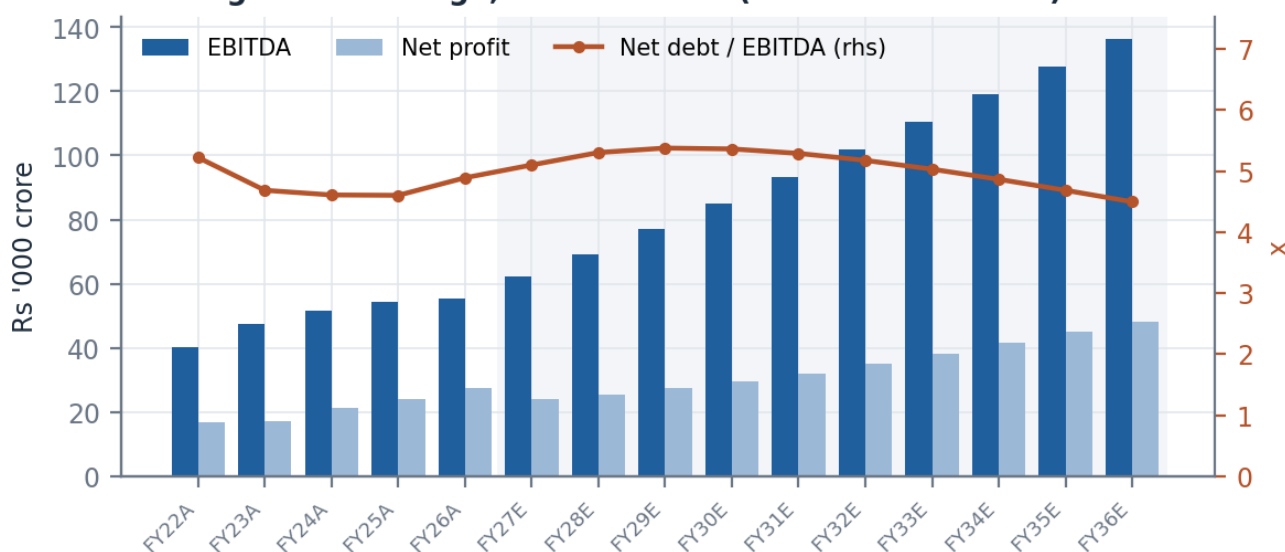
"In the second phasing, comprising five years from FY28 to FY32, total capex would be INR5,97,000 crores, driven primarily by renewable energy projects as we move towards our goal of becoming a 60 gigawatt company in the renewable space." [Q1FY27 call, p10]

"And right now, we are planning an average of 8 GW per annum." [Q4FY26 call, p10]

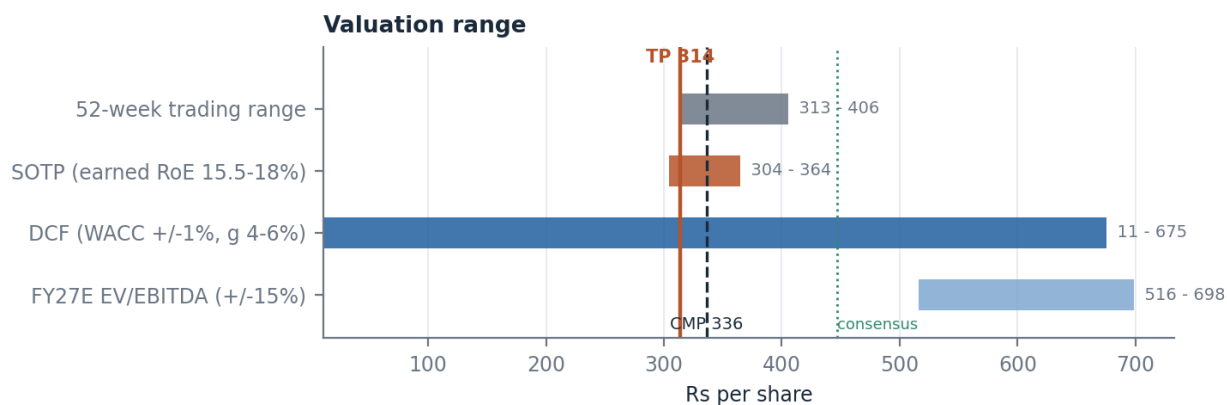
Forecast summary

Rs crore	FY25A	FY26A	FY27E	FY28E	FY29E	FY30E
Revenue	188,138	187,385	206,588	225,810	246,781	268,801
EBITDA	54,355	55,438	62,170	69,250	76,974	85,085
of which renewables	-	-	4,799	7,196	9,811	12,557
Net profit to shareholders	23,953	27,546	23,994	25,580	27,337	29,475
Capex	43,099	50,987	75,600	83,580	83,580	83,580
Borrowings incl. revolver	250,096	271,005	316,959	367,173	413,753	456,153
Renewable capacity (MW)	-	-	18,714	26,710	35,222	44,045
EBITDA margin	28.9%	29.6%	30.1%	30.7%	31.2%	31.7%
EPS (Rs)	24.7	28.4	24.7	26.4	28.2	30.4
P/E at CMP	13.6x	11.8x	13.6x	12.8x	11.9x	11.1x

Earnings and leverage, FY22A-FY36E (shaded = forecast)



NTPC Ltd: valuation



Cost of capital and DCF sensitivity (Rs per share, WACC rows x terminal growth)

Input	Value	WACC \ g	4.0%	4.5%	5.0%	5.5%	6.0%
Risk-free (G-sec less default spread)	4.9%	7.7%	287	340	411	514	675
Beta (Blume-adjusted)	0.92	8.2%	192	227	272	332	420
Equity risk premium	7.1%	8.7%	118	141	170	208	259
Cost of equity	11.4%	9.2%	59	75	94	118	148
Pre-tax cost of debt	7.4%	9.7%	11	22	34	49	68
Debt weight (market)	45.4%						
WACC	8.7%						
Terminal growth / RONIC	5.0% / 12.0%						

Target = sum of the parts (Rs 314): regulated equity by residual income at 1.81x FY27E book, regulated CWIP equity at book, NTPC Green at market less a 20% holdco discount. Cross-checks: 12-month DCF Rs 182, FY27E EV/EBITDA at 14.6x Rs 607. The DCF sits far below because FCFF stays negative through a decade of guided capex (terminal value 115% of EV), and a WACC-based DCF ignores that the regulator guarantees a return on that capex; the SOTP prices that guarantee directly.

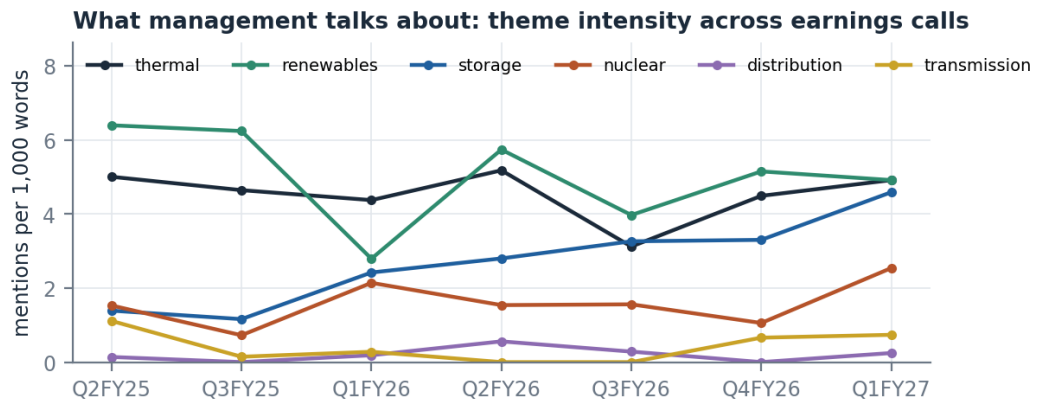
Key assumptions

- **Capex:** Q1FY27 call: group capex Rs 1,08,000 cr for FY27, Rs 5,97,000 cr over FY28-32 (Rs 1,19,400 cr/yr) and Rs 9,63,000 cr over FY33-37, mostly nuclear. FY26 actual was Rs 49,068 cr, so the step-up is haircut to 70%. FY33-36 is held at the FY28-32 run-rate because long-gestation nuclear capex adds little EBITDA in the horizon.
- **Regulated:** Consolidated regulated equity Rs 1,20,319 cr at Mar-26 vs Rs 1,08,791 cr a year earlier (Q4FY26 call); regulated RoE 15.5% post-tax (CMD, Q1FY27).
- **Renewables:** Group RE 11,578 MW at Mar-26 (12,068 MW incl. 490 MW added in FY27, Q4FY26 call); NGEL generated 14.6 BU in FY26 (implied CUF ~18.5%) on TTM revenue of Rs 3,285 cr (~Rs 2.25/kWh). NGEL capex Rs 35,800 cr for ~8 GW (Rs 4.5 cr/MW); about half of group capex goes to RE (Q4FY26 call). At guided capex the model commissions ~7 GW of RE in FY27 vs 7-8 GW guided.
- **Valuation:** Sum of the parts at Mar-27: regulated equity by residual income (FY27E book plus the present value of (RoE - Ke) x opening book along the model's regulated-equity path to FY36, then growth of 5%), equity in regulated CWIP at book, and the 89.01% stake in listed NTPC Green at market less a 20% holding-company discount. JVs are not added separately: consolidated regulated equity already includes them. DCF and EV/EBITDA are cross-checks.

Risks to the call

- Upside: sustained incentives and efficiency gains lift earned RoE toward 17-18%.
- Execution slippage beyond the 30% haircut; FY26 RE adds were gated by transmission connectivity.
- Coal additions (~16.5 GW under construction) keep carbon intensity near 1,650 tCO₂e per Rs cr.
- Leverage: net debt/EBITDA peaks at 5.4x and the model draws up to Rs 21,978 cr of short-term funding before FY32.

Earnings-call themes (automated transcript analysis)



Good businesses, but the price already assumes a cheap cost of capital

The growth story is real. Rs 25,000 cr of FY27 capex is lined up (half RE, half FGD and T&D), Mumbai transmission adds ~Rs 1,000 cr a year and rooftop solar targets Rs 30,000 cr of revenue by 2030. The model adds ~2.5 GW of RE in FY27 and compounds EBITDA at 12% a year to FY36.

The stock prices in more than the plan delivers. At Rs 382 Tata Power trades on 15.1x FY26A EV/EBITDA and 24x trailing earnings. Solving the DCF for today's price gives a 8.6% WACC against 10.3% on a 1.13 Blume-adjusted beta. Management described Q1FY27 profit growth as about 6%; we forecast -9% for FY27 as interest and depreciation step up with the build-out.

SELL, target Rs 331: 50% DCF rolled forward 12 months (Rs 181) and 50% peer EV/EBITDA of 15.7x on FY27E (Rs 480). This sits at the low end of broker targets dated before 14-Aug (Rs 300-485, average Rs 394). The call rests on the cost of equity; see the sensitivity table.

What management said

"And we expect that the INR 25,000 crores that we have lined up for this year, we'll be able to implement." [Q1FY27 call, p7]

"And this will continue because we have a huge pipeline of investment, which is there in Mumbai transmission, nearly INR 10,000 crores of investment will happen in the next 5 years." [Q1FY27 call, p4]

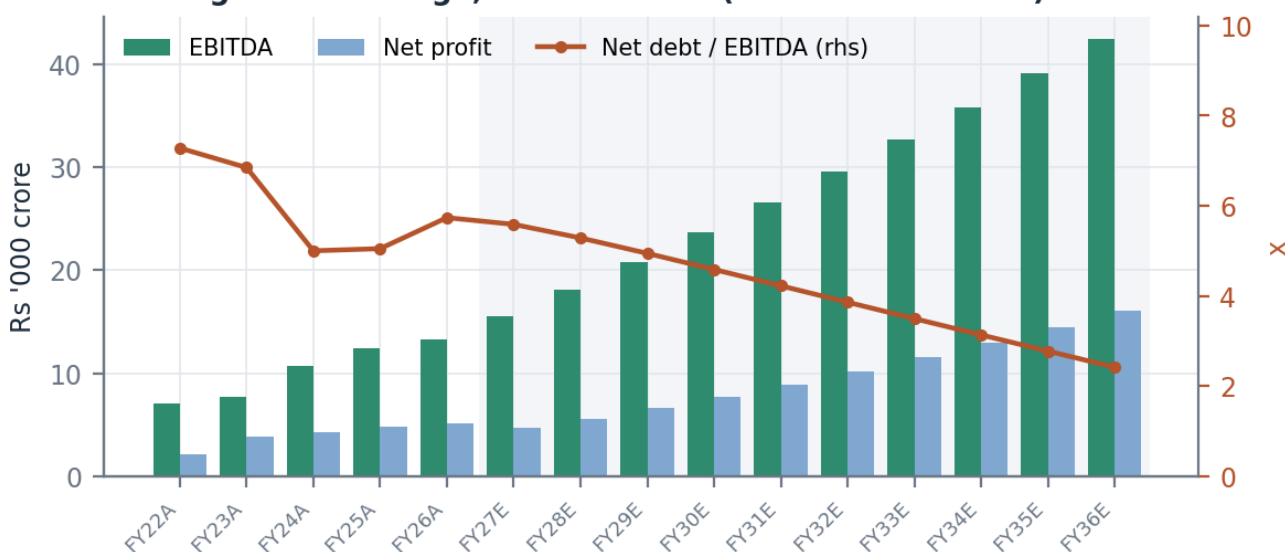
"And I believe you in annual reports have been talking about INR 30,000 crores of rooftop revenue for you by 2030." [Q1FY27 call, p15]

"But yes, you can assume in our quarter 2 also, we're kind of looking at a capex plan of probably higher than INR 6,000 crores." [Q1FY27 call, p14]

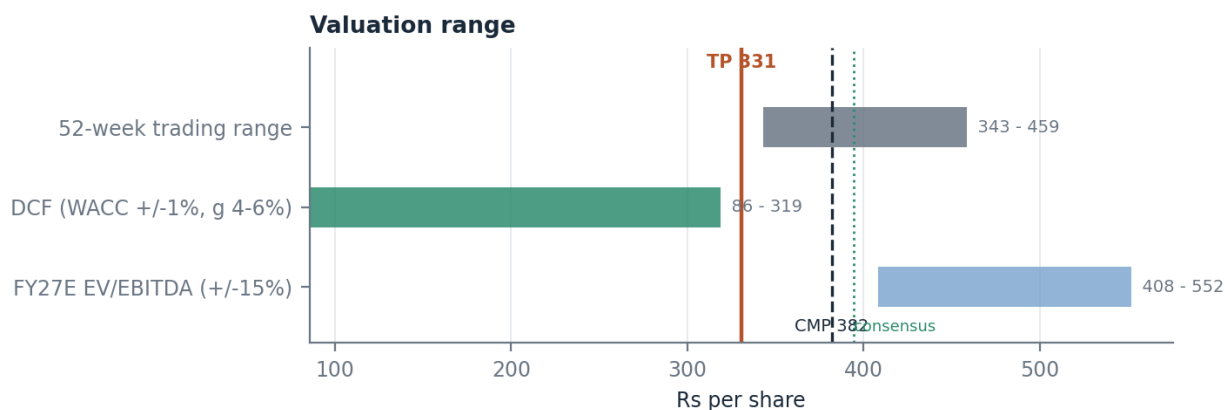
Forecast summary

Rs crore	FY25A	FY26A	FY27E	FY28E	FY29E	FY30E
Revenue	65,478	62,429	70,254	79,054	88,437	98,287
EBITDA	12,450	13,271	15,542	18,101	20,813	23,640
of which renewables	-	-	1,225	2,179	3,176	4,195
Net profit to shareholders	4,775	5,118	4,680	5,584	6,588	7,685
Capex	16,399	15,646	18,750	18,750	18,750	18,750
Borrowings incl. revolver	62,866	76,141	87,391	98,641	109,891	121,141
Renewable capacity (MW)	-	-	2,534	4,009	5,529	7,070
EBITDA margin	19.0%	21.3%	22.1%	22.9%	23.5%	24.1%
EPS (Rs)	14.9	16.0	14.6	17.5	20.6	24.1
P/E at CMP	25.6x	23.9x	26.1x	21.9x	18.5x	15.9x

Earnings and leverage, FY22A-FY36E (shaded = forecast)



Tata Power Company Ltd: valuation



Cost of capital and DCF sensitivity (Rs per share, WACC rows x terminal growth)

Input	Value	WACC \ g	4.0%	4.5%	5.0%	5.5%	6.0%
Risk-free (G-sec less default spread)	4.9%	9.3%	250	262	277	295	319
Beta (Blume-adjusted)	1.13	9.8%	198	205	214	224	237
Equity risk premium	7.1%	10.3%	154	158	163	169	175
Cost of equity	12.9%	10.8%	117	119	121	124	126
Pre-tax cost of debt	8.0%	11.3%	86	86	86	87	87
Debt weight (market)	38.4%						
WACC	10.3%						
Terminal growth / RONIC	5.0% / 11.0%						

Target = 50% DCF rolled forward 12 months at the cost of equity (Rs 181) + 50% peer EV/EBITDA of 15.7x on FY27E EBITDA less FY27E net debt (Rs 480). Terminal value is 88% of DCF enterprise value; the value-driver formula ties terminal reinvestment to growth at a 11.0% return on new capital.

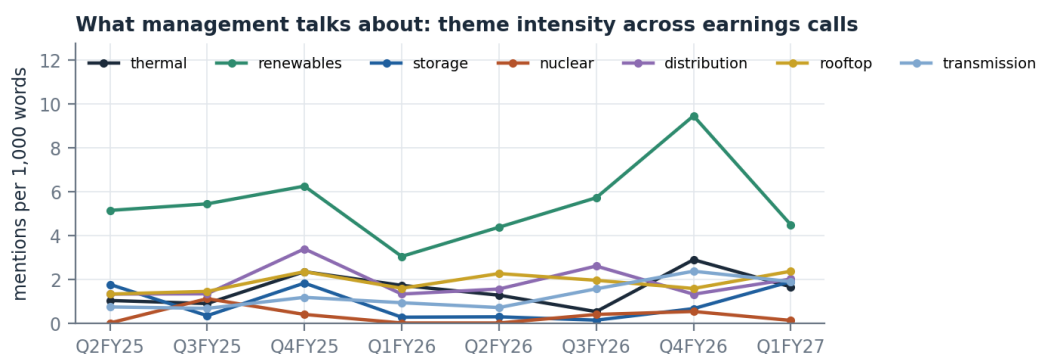
Key assumptions

- Capex:** Q1FY27 call: Rs 25,000 cr lined up for FY27, half RE and the rest FGD and T&D, with a 'similar kind of capital outlay' after. FY26 spend of ~Rs 15,600 cr vs ~Rs 22,000 cr guided implies ~70-75% delivery; 75% assumed.
- Core:** Existing EBITDA drifts 4% a year: Mumbai transmission (~Rs 1,000 cr capex a year), distribution and rooftop/EPC. Non-RE assets commissioned earn 12% (FY19-26: 12.2%).
- Renewables:** Rs 6 cr/MW for hybrid/FDRE-heavy additions (Rs 12-15k cr for ~2 GW a year, Q4FY26 call), CUF 27%, Rs 3.2/kWh, 88% EBITDA margin. Model adds ~1.4 GW in FY27.
- Valuation:** 12-month target: 50% DCF rolled forward at Ke, 50% peer EV/EBITDA on FY27E.

Risks to the call

- Upside: rooftop, EPC and manufacturing earnings grow faster than the 4% core drift.
- Associates (coal, Tata Projects) are not modelled separately.
- A lower risk premium for Indian utilities would close most of the gap.

Earnings-call themes (automated transcript analysis)



On track for 30 GW, and the market already knows

Execution is the best in the group. JSW guided 3 GW and Rs 20,000 cr of capex for FY27 and had commissioned 1.1 GW by late July; at guided capex the model adds ~2.9 GW of RE in FY27. Locked-in capacity of 32.1 GW already covers the FY30 target.

Earnings lag the balance sheet. FY27E EBITDA rises to Rs 13,077 cr (+30%) as FY26 acquisitions and additions annualise, but interest and depreciation follow and FY26 had a tax credit: attributable PAT of Rs 1,922 cr (-30%), in line with Q1FY27's Rs 533 cr.

HOLD, target Rs 506 (-9.7%, just inside the -10% SELL line): 12-month DCF Rs 429 and 14.6x FY27E EV/EBITDA Rs 582. The stock's run to Rs 560 leaves little room. Net debt/EBITDA peaks at 6.8x in FY27 and falls below 4x by FY36; the re-rating case needs that de-levering in reported numbers.

What management said

"We remain firmly on track to deliver our FY27 annual target of 3 GW capacity addition and Rs 20,000 crore capex — having already achieved close to 36% of the FY27 capacity guidance, and surpassed about 87% of the total capacity added in all of FY26." [Q1FY27 call, p3]

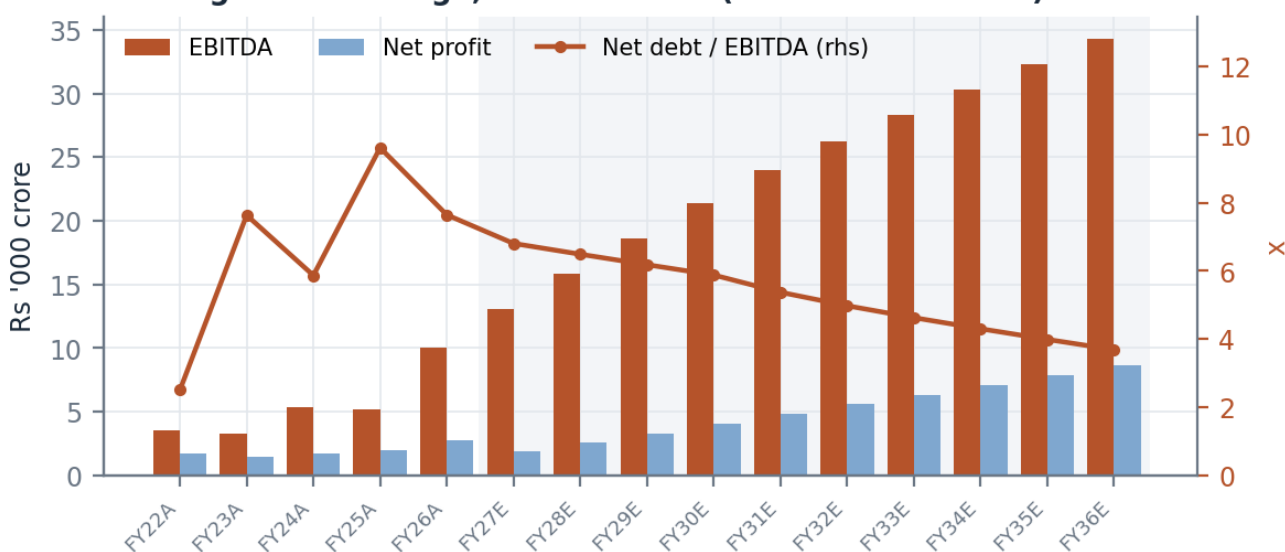
"Our total locked-in capacity now stands at 32.1 GW, placing us firmly on track to deliver the 30 GW target of generation by 2030, under Strategy 3.0." [Q4FY26 call, p4]

"As I said, till date, in the current year since April 1, we have commissioned 1.1 GW of fresh capacity." [Q1FY27 call, p10]

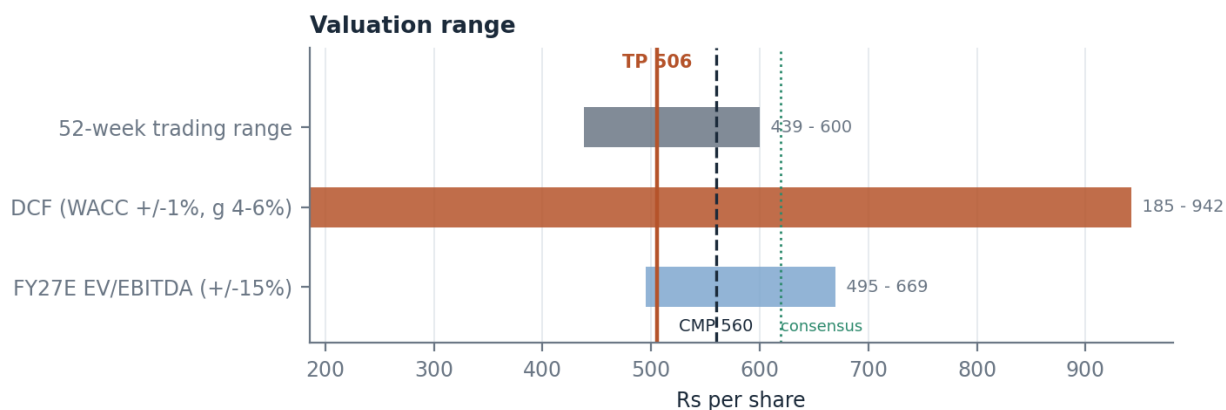
Forecast summary

Rs crore	FY25A	FY26A	FY27E	FY28E	FY29E	FY30E
Revenue	11,745	18,901	22,940	26,647	30,389	34,155
EBITDA	5,221	10,068	13,077	15,831	18,607	21,399
of which renewables	-	-	3,419	5,429	7,452	9,480
Net profit to shareholders	1,983	2,762	1,922	2,593	3,248	4,029
Capex	26,860	30,737	18,000	19,800	19,800	19,800
Borrowings incl. revolver	50,185	76,946	88,979	102,699	114,991	127,256
Renewable capacity (MW)	-	-	6,459	9,409	12,370	15,336
EBITDA margin	44.5%	53.3%	57.0%	59.4%	61.2%	62.7%
EPS (Rs)	10.8	15.1	10.5	14.1	17.7	22.0
P/E at CMP	51.7x	37.2x	53.4x	39.6x	31.6x	25.5x

Earnings and leverage, FY22A-FY36E (shaded = forecast)



JSW Energy Ltd: valuation



Cost of capital and DCF sensitivity (Rs per share, WACC rows x terminal growth)

Input	Value	WACC \ g	4.0%	4.5%	5.0%	5.5%	6.0%
Risk-free (G-sec less default spread)	4.9%	8.0%	558	615	689	791	942
Beta (Blume-adjusted)	0.88	8.5%	433	470	517	578	662
Equity risk premium	7.1%	9.0%	334	358	388	425	474
Cost of equity	11.1%	9.5%	253	269	287	310	340
Pre-tax cost of debt	8.4%	10.0%	185	196	207	221	238
Debt weight (market)	42.9%						
WACC	9.0%						
Terminal growth / RONIC	5.0% / 11.5%						

Target = 50% DCF rolled forward 12 months at the cost of equity (Rs 429) + 50% peer EV/EBITDA of 14.6x on FY27E EBITDA less FY27E net debt (Rs 582). Terminal value is 90% of DCF enterprise value; the value-driver formula ties terminal reinvestment to growth at a 11.5% return on new capital.

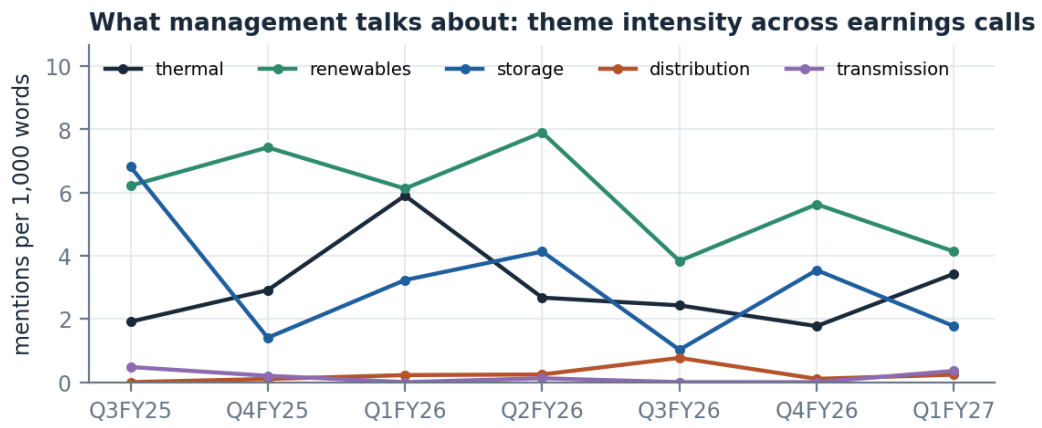
Key assumptions

- Capex:** Q4FY26 and Q1FY27 calls: ~Rs 20,000 cr capex and 3 GW additions in FY27 (1.1 GW done by July), Rs 4-5k cr of it thermal and pumped storage; 30 GW generation target by FY30 with 32.1 GW locked in. Rs 22,000 cr a year to FY30, Rs 15,000 cr after; 90% execution.
- Core:** Existing 13.45 GW fleet drifts 1% a year; the 25-yr Utkal PPA at Rs 5.78/unit anchors thermal. Non-RE assets commissioned (Mahanadi expansion, pumped hydro) earn 15%.
- Renewables:** Rs 5.2 cr/MW (RE share of Rs 20,000 cr over 3 GW), CUF 28% with ~35-40% wind, Rs 3.1/kWh, 90% margin. Model adds ~2.9 GW in FY27 vs 3 GW guided.
- Valuation:** 12-month target: 50% DCF rolled forward at Ke, 50% peer EV/EBITDA on FY27E.

Risks to the call

- Merchant exposure on the thermal fleet and hydrology on the hydro assets.
- Battery and wind-blade manufacturing are early; external orders so far are small (Rs 440 cr).
- Weighted cost of debt of 8.36% leaves little room if the G-sec stays near 7.1%.

Earnings-call themes (automated transcript analysis)



Methodology and sources

- **Financials:** consolidated annual statements FY14-FY26 (Screener export, cross-checked line by line against screener.in; FY26 revenue, EBITDA, PAT and borrowings match exactly).
- **Guidance:** 23 earnings-call transcripts (Q2FY25-Q1FY27) downloaded from NSE corporate filings. A rule-based extractor keeps every sentence pairing a forward-looking cue with a figure and unit; each capex input in the model cites the call and page it came from.
- **Model:** Excel workbook per company with live formulas (inputs in blue). A test suite recalculates the workbook with the *formulas* package and checks WACC, DCF, peer value, target and rating against the Python engine.
- **Cost of capital:** 10Y G-sec 6.76% (close 14-Aug-2026, Investing.com) less Damodaran's 1.87% India default spread; total ERP 7.08% (Damodaran, Jan-2026); Blume-adjusted 2-year weekly betas vs Nifty 50.
- **Consensus:** average of the latest broker targets dated on or before 14-Aug-2026 (Investing.com; 8 brokers each for NTPC and Tata Power) and Yahoo Finance's 21-Jul-2026 average for JSW Energy.
- **Cut-off:** all market data, consensus and transcripts are as of 14-Aug-2026 (last call used: NTPC Q1FY27, filed 2-Aug-2026).

Disclaimer: prepared as a student research exercise. It is not investment advice or a recommendation to buy or sell any security. Ratings: BUY above +15% to target, SELL below -10%, HOLD in between.